

To: Randy Jones, Chief Executive Officer
From: Pimlapus Tanpisuth and Michael Chang, Analysts
Date: September 29, 2024
Subject: Competitor Q2 2024 Update – Public Storage (PSA)

Executive Summary

The purpose of this report is to summarize the REIT performance of Public Storage Inc. (PSA) in Q2 2024 (ending June 30, 2024). From analyzing PSA's public reports including the earnings call, 10-Q, and 10-K, we learned that PSA's overall performance is quite consistent with past performance as demonstrated in Figure 1, with a relatively stable FFO compared to the past four quarters. We elaborated on several key points. First, PSA strategized drawing new demand from below market rents which results in a decrease in revenue but an increase in occupancy. Second, PSA experienced an increase in the cost of operations, yet the operating margin remains robust. Third, strong acquisitions including Simply Storage LLC draw in NOI and fuel income growth. Last, recent debt refinance and loan issuance increases financial liability. At the same time, PSA's development and expansion facilities decrease liquidity.

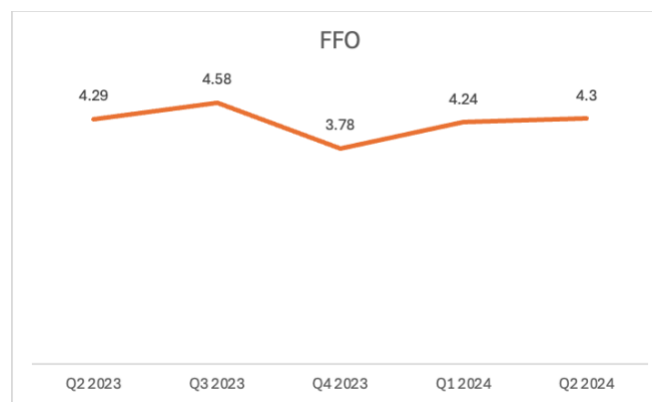


Figure 1: FFO Past Four Quarters

1. Main Strategy Involves Attracting New Tenants with Rent Below Market Level

1.1. Lower Rental Rates Drive Occupancy Gains but Challenge Short-Term Earnings

PSA adopted a strategy of lowering move-in rental rates in Q2 2024 to stimulate demand and boost occupancy levels. The average move-in rent dropped to \$14.27 psf, reflecting a 14.4% YoY decrease.¹ While this pricing strategy helped attract new customers, it also contributed to a 1.1% YoY decline in gross rental income. The reduced rental rates, coupled with a softer pricing environment, put pressure on the company's portfolio earnings. As lower rental income eroded overall revenue growth, PSA faced tighter margins, which could impact its ability to maintain its cash flow and returns to shareholders. However, by driving higher occupancy rates, PSA may position itself for long-term gains once market conditions stabilize and rental rates rebound.

1.2. Occupancy Rebound Across Same-Store and Non-Same-Store from Effective Main Strategy

In Q2 2024, occupancy rates improved across both same-store and non-same-store facilities, signaling a positive shift in portfolio performance. Same-store occupancy rose by 0.9 percentage points QoQ² (Figure 1), marking the end of a three-quarter decline. This rebound is significant, as it indicates a stabilization of demand. Meanwhile, non-same-store facilities experienced even more substantial gains, with occupancy increasing by 30.2 percentage points for properties acquired in 2023 and by 19.3 percentage points for newly developed facilities YoY. These strong improvements suggest that Public Storage's growth

¹ Public Storage Inc., June 30, [Q2 2024 Form 10-Q/10-K](#), accessed September 2024.

² Public Storage Inc., June 30, [Q2 2024 Earnings Call](#), accessed September 2024.

initiatives—including acquisitions and development of new properties—are yielding results. Higher occupancy across the portfolio offsets some of the pressure from lower move-in rental rates, helping to maintain overall revenue streams. In the long term, sustained occupancy growth could enhance the company's ability to optimize pricing and improve earnings, particularly as market conditions recover. Additionally, increased utilization of new and acquired assets strengthens the company's competitive position in the self-storage market, contributing to future scalability and profitability.

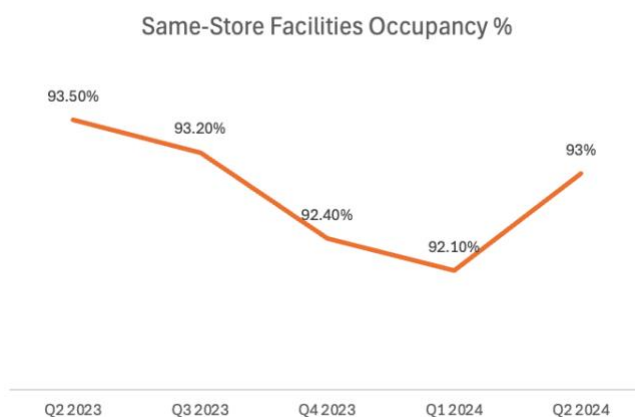


Figure 2: Same-Store Facilities Occupancy (%) Past Four Quarters

2. Operating Margin Remains Strong, Despite Same-Store Costs of Operations Rise

The operating margin is still leading the industry at 79% despite the increase in cost of operations increased by 90 basis points or \$1.9 million.³ This 90-basis point increase is due to an increase in property tax expenses of 3.9%. Another increase in expense area is on marketing expenses by 12.1% which allowed PSA to attract new tenants by utilizing a higher volume of online paid search programs.⁴ Nevertheless, the increase in expenses is offset primarily by on-site property manager payroll expenses. Property manager payroll expenses decreased by 6.5% from a reduction in labor hours and utility expenses decreased by 8.4% from a decrease in utility rates and investment in energy-saving technology, e.g., solar power and LED lights. Overall, total expenses contributed to an NOI decrease for the same-store pool by 1.6% in the quarter.

3. Aggressive Acquisition Strategy Strengthens Market Position

3.1. Expansion through Acquisitions Yields Strong NOI Gains

PSA has demonstrated an active and aggressive acquisition strategy in recent years, contributing \$40.9 million in NOI. Since the start of 2022, the company has acquired 240 facilities, adding 17.0 million net rentable square feet to its portfolio at a total cost of \$3.4 billion. These acquisitions positions PSA as a formidable competitor in the self-storage industry.

3.2. Strategic Acquisition of BREIT Simply Storage LLC Fuels Income Growth

For the first half of 2024, the Simply Storage portfolio alone generated \$76 million in revenue and \$52 million in NOI, with an average occupancy of 86.7%. The 2023 acquisition of BREIT Simply Storage LLC was secured for \$2.2 billion in cash and has provided PSA with an operational boost and expanded its footprint significantly. Looking ahead, as of June 30, 2024, PSA had acquired or entered contracts to

³ Public Storage Inc., June 30, [Q2 2024 Form 10-Q/10-K](#), accessed September 2024.

⁴ Public Storage Inc., June 30, [Q2 2024 Earnings Call](#), accessed September 2024.

acquire three additional facilities, adding 0.2 million rentable square feet for \$24.2 million, further solidifying its competitive stance in key markets.

4. Leverage, Development, and Expansion Increases Financial Risk

4.1. Recent Debt Refinance and Loan Issuance, Increasing Financial Liability

The combination of debt refinance and loan issuance in Q2 2024 increased debt liability although this increases capital and liquidity for the company. In April 2024, PSA refinanced its maturities, achieving 3.9x Net Debt and Preferred Equity to EBITDA. In past years, the ratio is 3.9x in 2023 (3.2x in Q2 2023) and 3.4x in 2022. This 3.9x ratio represents equal or higher financial leverage in comparison to past years.⁵

Furthermore, Public Storage Operating Company (“PSOC”), a subsidiary of PSA, received \$162.5 million net proceeds from senior notes issuance, maturing in 2039. PSOC also completed a public offering of \$1.0 billion aggregate (net proceeds of \$988.5 million) with maturities extended until 2053. Even though PSOC repaid outstanding \$108.4 million to institutional investors, the repaid amount is still lower considering loans that are owed.

Although past repayment of PSA on April 23, 2024 for maturing \$700 million floating rate senior loans demonstrates the company’s strength in meeting its debt liabilities, the amended credit agreement PSOC entered to increase borrowing limit from \$500 million to \$1.5 billion on June 12, 2023 highlights PSA’s increase in appetite for leverage which could put the company in financial risk when not enough revenue is generated to repay debt and stakeholders.

4.2. New Development and Expansion Incurs High Cost of Capital, Decreasing Liquidity

PSA’s two newly developed and expanded facilities totaled an increase in 0.4 million net rentable square feet at a cost of \$84.9 million, decreasing the liquidity of the company’s balance sheet. Even though developed and expanded facilities are leased up as expected, the properties are at various stages of revenue stabilization periods and can take time before actual annualized yields are realized at the company’s targeted 8.0% NOI yield on cost because of uncertain current market conditions. Development and expansions completed by June 30, 2024, incurred a total cost of \$1.4 billion, including a total of 126 self-storage facilities with 14.9 million net rentable square feet. So far, these facilities brought in NOI of \$37.8 million and potentially attracting future sources of revenue, but these types of projects always lead to substantial diluted earnings from intensive costs such as cost of capital used to fund development cost.

5. Conclusion and Future Predictions

5.1. Q2 2024 Conclusion

PSA’s strong occupancy, customer retention, and acquisitions will help support stable cash flows, ensuring continued success in core markets as competitive conditions stabilize. However, the company is facing risk as well, where new move-in rents have declined 14% YoY due to the lower market rent strategy, increase in financial liability from debt strategy, and decrease in liquidity from intensive costs for development and expanded facilities.

5.2. Future Prediction

The outlook for PSA is expected to be driven by the non-same-store portfolio, which includes newly acquired and developed facilities. This segment is projected to contribute to a significant 32% increase in NOI in 2024, with \$358.0 million in development costs still to be incurred over the next 18 to 24 months. PSA remains optimistic about future growth through expansion and upgrading existing assets, forecasting a gradual recovery with a mid-single-digit rent decline by the end of 2024.

⁵ Public Storage Inc., June 30, [Q2 2024 Earnings Call](#), accessed September 2024.